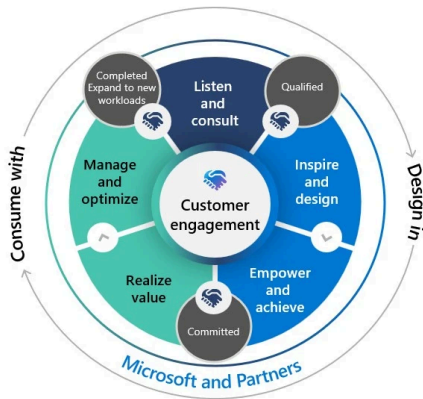


MCEM Overview



What is MCEM?

MCEM stands for Microsoft Customer Engagement Methodology. MCEM provides a common sales process and methodology for engaging customers throughout their lifecycle, helping teams align customer needs, business outcomes, and solutions into a repeatable approach that drives customer success and Microsoft growth.

Sales Process vs. Methodology

- The **sales process** consists of the stages, pipeline management, objectives, exit criteria, activities, and verifiable outcomes.
- The **methodology** is behaviors, tactics, questioning techniques, frameworks, and skills used while executing the sales process.

Why MCEM exists

- Creates a shared language across roles, segments, and solution areas.
- Aligns teams around customer outcomes and business priorities.
- Provides a consistent way to assess opportunities, make decisions, and drive execution.
- Enables situational fluency while maintaining a common framework.

How to Use MCEM

Remember MCEM is a sales process and methodology, not just a checklist. Every customer engagement is different. MCEM is designed to provide structure and guidance while allowing flexibility based on:

- Customer maturity
- Business priorities
- Market conditions
- Sales motions
- Organizational roles
- Segment-specific needs

Situational Fluency

Situational fluency is the ability to deeply understand a customer's situation, including the context and challenges they face, and to use this understanding to adapt based on the situation, provide empathetic and relevant guidance, helping them navigate complex scenarios and build trust.

The MCEM opportunity lifecycle consists of 5 stages:

Each stage has 4 elements:

- **Objective:** What the customer and Microsoft are expected to achieve during the stage. This is universal, regardless of scenario.
- **Exit Criteria:** The conditions that indicate readiness to progress to the next stage.
- **Activities:** The recommended activities to achieve the objective and/or exit criteria.

- **Verifiable Outcome:** The items to have in place as you are working through the stage.

The below are the MCEM Framework general set of objectives, exit criteria, activities, and verifiable outcomes. These may vary depending on the scenario, please see the [MCEM FY27 Bill of Materials](#) and [FY27 Commercial Landing Portal](#) for specifics.

MCEM Stage Activities (Updated)

MCEM Stages	1 Listen & Consult	2 Inspire & Design	3 Empower & Achieve	4 Realize Value	5 Manage & Optimize
Objective	Understand the customer, their priorities, challenges, and qualify the opportunity.	Co-create a vision and define a solution approach that aligns to customer outcomes.	Prove business and technical value and gain customer commitment.	Implement solution with customer directly and/or via partner.	Demonstrate, measure, and communicate business value and outcomes achieved and identify opportunities for continuous growth and optimization.
Exit Criteria	Conversations and Qualified Pipeline identified via Discovery Questions	Customer Conversations complete to prove value and rapidly solution	Customer Agreement and Committed Pipeline secured	Accelerated scale and business value delivery	New Customer Questions and workloads initiated
Activities	- Consume signals, leads, and insights - Orchestrate account team inclusive of Services and Partners - Reach out via digital qualification to the customer as appropriate Meet customer with insights and perspectives, asking intentional question to gain further insights, listening to customer to better understand business goals and Priorities - Qualify opportunity	Confirm Conversation - Map stakeholders - Orchestrate team and actions - Engage Services and/or Partner - Capture Customer Needs & Health Goals - Capture Customer Value (e.g., BVA) - Initiate Technical Assessment - Show technical ability (e.g., hackathon, vision demo) - Develop initial solution including support - Develop initial solution, delivery approach, and support coverage (e.g., Solution Assessment) - Create Architecture - Understand customers proof needs - Understand customers skilling needs & ES, recommend MSFT Learn for Organizations - Identify and secure programs/investment - Finalize and present solution and business Case Construct deal strategy and structure - Create or update Customer Success Plan	- Recommend customer technical skilling to support assessments - Deliver technical proof (e.g., POC, MVP, Pilot, Prototype, or tailored demo) and business proof - Gain customer go-ahead for proposal - Evaluate deal strategy - Assess cloud/people capacity - Create proposal - Engage deal teams - Gain customer agreement on proposal Develop and execute negotiation strategy Secure required commercial approvals and governance sign-offs Finalize customer commercial commitments and contractual terms	- Coordinate Customer Success Plan execution (customer, Services, Partner, CE&S Production design, implementation, consumption, change management Success Plan RoB with customer) - Perform technical validation - Recommend customer skilling to support deployment and usage - Deploy Azure landing zone and validate workload architecture design using Well-Architected Review - Incorporate operational and adoption practices - Mitigate technical blockers - Oversee MVP/PoC/Pilot to Production deployment and Usage Activation - Complete go-live assessment - Review and sign off on production architectural design and technical scope - Identify signals leading to expansion in conjunction with BV - Update consumption estimates & business value success measures	- Drive ongoing customer health and proactive optimization - Drive customer business value achievement - Analyze digital signals to maintain and optimize customer success (retention) - Identify signals leading to expansion in conjunction with business value - Proactive backlog review and action new success plans - Monitor usage trends and refresh consumption plans appropriately - Recommend customer skilling to support customer health and expansion
Verifiable Outcomes	- Initial stakeholder identification complete - Customer needs and outcomes defined - Initial Solution Play selected - Customer priorities identified - Customer timeline and initial budget outlined	Conversations confirmed & team orchestrated - Services and/or Partner(s) identified and engaged - Business value reviewed and endorsed by customer - Customer Success Plan created - Technical and business proof requirements identified	- Proposed solution confirmed by customer - Customer Success Plan reviewed and updated Commercial terms and customer commitment agreed Deal structure optimized and compliant with policy	- Resources aligned against delivery plan - Change management plan in place - Solution delivered against agreed outcomes	- Customer Success Plan updated - Customer health metrics agreed with proactive monitoring - Next set of customer needs identified - Business value and success outcome monitoring in place - Customer's ability to operate and maintain solution has been established

Stage Progression

Progression through MCEM is driven by the achievement of outcomes and exit criteria, not by the completion of activities.

Working with customers and opportunities can be dynamic and not always linear. As appropriate you may find that you have to revert to the previous stage as you work towards a solution with a customer.

Roles Within MCEM

Shared Accountability

Role ownership gets defined at the stage and activity level, however ownership can change due to organizational or situational circumstances. Therefore it's important to remember that achieving an MCEM opportunity requires situation fluency and flexible team work while keeping to the MCEM sales process.

Programs, Motions & Scenarios

MCEM Is the Foundation

Programs, motions and scenarios are built on top of MCEM. These will vary based on the individual FY27

Conversations.

Customer Planning

Customer planning is not a single activity or stage. Its an always on approach to orchestrating and governing customer engagement across the entire lifecycle. In Enterprise this is done via Integrated Customer Planning (ICP: [MCEM FY27 Enterprise Customer Planning Guide](#), [Consumption Planning](#), [MCEM FY26 Customer Success Planning Guide](#), and [Customer Relationship Governance](#)), and in SME&C Corporate this is done via Territory and Partner Planning (link coming soon to the MCEM Bill of Materials)

Throughout the MCEM lifecycle, customer planning serves as a continuous thread that helps teams:

- Align strategies across ATU, STU, CSU, Partners, and executive stakeholders
- Prioritize opportunities based on customer priorities and business outcomes
- Coordinate execution across the customer v-team
- Measure progress against planned outcomes and milestones
- Validate value realization through regular governance rhythms and customer reviews
- Adjust plans as customer needs, priorities, and market conditions evolve

Budget, Outcomes, Approval, and Timing (BOAT)

Qualification Criteria

For an opportunity to become qualified, the AE (accountable for opportunity qualification) coordinates across the customer v-team (all roles are responsible for identifying opportunities) to ensure the following qualification criteria are met:

- **Budget:** Validate budget availability
- **Outcomes:** Identify customer outcomes
- **Approval:** Determine approval process
- **Timing:** Identify timeline

If only two or three of the criteria are met, then the opportunity is not qualified. All four must be met for qualification.

How to qualify an opportunity

You can use the following questions with your customers to advance through opportunity qualification by the end of Stage 1 – Listen and Consult:

Budget

Validate Budget Availability

- **Funding:** What funding is available for the project, or is there a process to request funding?
- **Problem Scope:** Does the customer understand the magnitude of the problem compared to the customer's initial scope of the solution and the budget required to solve for it?

Outcomes

Identify Customer Outcomes

- **Outcomes:** What are the high-level expected outcomes/returns/key performance indicators (KPIs)/capabilities the customer wants to achieve?

- **Project Importance:** What are the customer's goals, strategies, and business challenges, and where does this opportunity fit in terms of priority?
- **Microsoft Scope:** What are the customer's needs for cross-solution support, implementation/consumption, change management, and training?
- **Risks:** Are there known or projected risks? What has stopped this project in the past if the customer considered it previously?

Approval

Determine Approval Process

- **Stakeholders:** Which other people and parts of the company need to be involved, including existing projects like this one?
- **Authority:** Has the business decision maker (BDM)/technical decision maker (TDM) for the problem agreed that we can proceed?
- **Sponsorship:** Is sponsorship in place, and does the sponsor support our proceeding

Timing

Confirm Timing

- **Timing:** What is the timing of funding, decision making, purchase, and implementation?
- **Decision Lifecycle:** Where is the customer in their decision lifecycle?
- **Compelling Event:** Is there a compelling event leading to this decision being made now? What are the potential risks for a delay?

If Budget, Outcomes, Approval, and Timing are in place for the opportunity, it can then be considered qualified and moved to Stage 2 of MCEM.

How to write forecast comments

Here is an example of how you could write a forecast comment for an opportunity in MSX, ensuring all Budget, Outcomes, Approval, and Timing criteria are covered:

Account Name: Contoso

Opportunity Title: Microsoft Purview for Data Governance and Compliance

Stage: Stage 1 – Listen and Consult

Budget

- **Funding:** Approved under FY25 IT security budget, with reallocation options if needed.
- **Problem Scope:** Customer acknowledges expanded needs beyond initial compliance scope, aligning expectations with budget requirements.

Outcomes

- **Outcomes:** Aims to improve GDPR/HIPAA compliance, automate 70% of data classification, and reduce violations by 40%.
- **Project Importance:** A top priority in Contoso's security strategy, directly addressing compliance gaps.
- **Microsoft Scope:** Requires Microsoft support for implementation, integration with Azure/M365, change management, and training.
- **Risks:** Key risks include internal resistance to change and dependencies on legacy systems.

Approval

- **Stakeholders:** CIO, VP of Security and Compliance, Data Governance Lead, legal, and procurement teams involved.
- **Authority:** CIO (BDM) and Head of Security and Compliance (TDM) support moving forward.
- **Sponsorship:** CISO sponsoring, ensuring executive alignment.

Timing

- **Timing:** Vendor selection finalizing in 3 weeks, contract by end of Q1, implementation in early Q2.
- **Decision Lifecycle:** Contoso is in vendor evaluation, with Microsoft as the preferred solution pending procurement approval.
- **Compelling Event:** Recent compliance audit exposed gaps, creating urgency—delays risk regulatory fines.

Next Steps

- Schedule a technical deep dive.
- Align procurement and finalize contract.
- Plan proof-of-value workshop.

MCEM Source of Truth

MCEM guidance is maintained through the approved [FY27 MCEM Bill of Materials](#). These materials contain the detailed guidance, processes, examples, and execution practices that support the MCEM methodology.

The MCEM portal provides context and navigation; detailed guidance resides in the maintained source-of-truth assets.



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